

OUR OPERATING ENVIRONMENT

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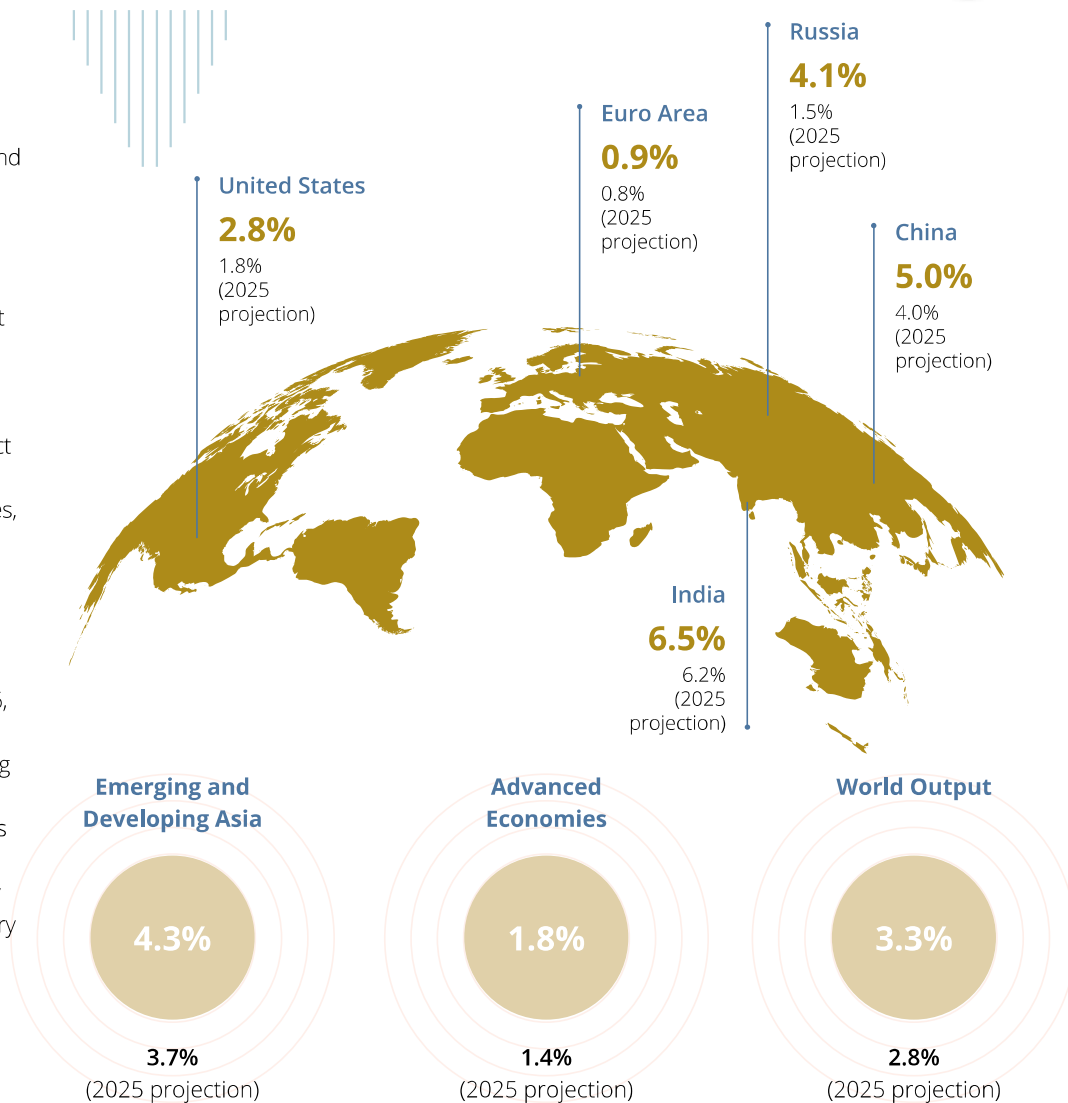


1. GLOBAL ECONOMY

The global economic landscape has been significantly altered following an underwhelming 2024. Rapidly escalating trade tensions, initiated by new US tariffs and subsequent countermeasures by trading partners, have led to near-universal tariffs, pushing effective rates to century-high levels and creating extremely high policy uncertainty. This is now projected to impact global activity significantly, slowing global growth from an estimated 3.3% in 2024 to 2.8% in 2025, before a modest recovery to 3.0% in 2026. The short-term growth impact varies across nations, influenced by factors like trade relationships and policy responses, with some (including China and the Euro Area) expecting fiscal support to offset negative effects partially.

Global headline inflation is forecast to decrease to 4.3% in 2025 and 3.6% in 2026, with advanced economies reaching the target sooner (2.2% by 2026) than emerging markets (4.6%). However, the outlook is subject to considerable uncertainty and has not fully reverted to pre-pandemic norms. A primary factor is the potential inflationary effect of recent tariffs, whose impact will vary by country based on perceived duration, business cost absorption, and invoicing currency.

Source: IMF World Economic Outlook April 2025



2. MYANMAR ECONOMY

Myanmar's economic landscape continues to face significant challenges stemming from prolonged instability, high inflation, and trade disruptions, which heavily impact growth. Consequently, GDP growth is forecast to contract by 0.7% in fiscal year 2024 (FY2024, ending 31 March 2025), following a 0.8% contraction in FY2023.

Rising prices for food and fuel, decreased food production, exchange rate depreciation, and constraints in supply chain and logistics have led to double-digit inflation. In FY2024, average annual inflation increased to 27.8%, up from 27.5% in FY2023. Increased volatility across the country has disrupted food production and trade flows, heightening inflationary pressures, particularly in conflict-affected areas.

Outlook

The economic outlook for Myanmar remains weak due to the ongoing crisis, with GDP growth projected at a modest 1.1% in FY2025, improving slightly to 1.6% in FY2026. This limited recovery assumes some sectoral improvements and continued humanitarian support but is heavily constrained by conflict, macroeconomic instability, and worsening socio-economic conditions. These factors are expected to result in uneven sector performance, with industry forecast to grow by 1.5% and services by 1.2% in FY2025. Agriculture faces significant uncertainty due to reliance on weather, rural security, and trade recovery, with growth expected at only 0.2%.

Inflationary pressures remain high, fuelled by factors including rising input costs and supply chain disruptions. Severe floods in September 2024, for instance, significantly impacted agricultural output and rural productivity, contributing to persistent food inflation and keeping headline inflation in double digits. The depreciation of the kyat, averaging 35% year-on-year as of January 2025, further intensifies inflationary pressure by increasing imported input costs. Regarding external balances, the current account deficit is projected at 2.0% of GDP in FY2025, widening slightly thereafter in FY2026.

Source: Asian Development Outlook April 2025: Myanmar

3. SRI LANKAN ECONOMIC HIGHLIGHTS AND THEIR IMPACT

3.1 PESTEL Analysis

Political

Related Material Theme

MT 1

MT 3

Related Strategies

S 1

S 6

Political stability, achieved after the 2024 elections, has significantly boosted investor confidence. This, in turn, has cultivated a more predictable and secure business environment, stimulating increased domestic and foreign investment. The resulting capital inflows have played a key role in improving market sentiment and enhancing economic growth prospects.

Moreover, the government has taken steps to gradually lift the ban on the import of vehicles. This will influence the exchange rate by weakening the local currency.

Outlook

- Sri Lanka is expected to maintain political stability over the medium term, following the turbulence of 2022.
- The government’s commitment to reforms under the IMF programme including fiscal consolidation, anti-corruption legislation, and governance improvements will dominate the political agenda.

Risks Associated
Market Risk | Liquidity Risk

Economic

Related Material Theme

MT 1

MT 3

MT 4

Related Strategies

S 1

S 4

S 6

Sri Lanka's economy recorded a steady recovery in 2024, emerging from its deep downturn faster than many other debt-distressed nations. Post-crisis reforms are yielding positive outcomes including improved activity and purchasing power, while reduced uncertainty, eased election concerns, nearing debt restructuring completion, and exiting the restricted default rating have significantly boosted confidence. Growth was broadly supported by key sectors, including a revival in Industry (manufacturing, construction), sustained growth in Services (accommodation, transport), and a positive contribution from Agriculture.

Following an early-year surge, Sri Lanka experienced strong disinflation throughout 2024, resulting in deflation from September. Key drivers included electricity tariff cuts, a strengthening rupee, and moderating global prices, alleviating high living costs. By year-end, headline inflation (CCPI) was -1.7% (from 4.0% end-2023), with the annual average dropping to 1.2% (from 17.4% in 2023).

Continuing its accommodative stance from June 2023, monetary policy in 2024 further drove down market interest rates through policy rate cuts. Approximately 125 bps of these cuts occurred in 2024, part of a total ~775 bps reduction. A key structural change in late November was the move to a single Overnight Policy Rate (OPR), contributing ~50 bps to the reduction and ending the dual rate system.

Outlook

The future outlook is subject to global economic headwinds, with potential US tariff policy changes posing a significant trade vulnerability, threatening both direct exports (especially to the US) and performance via other trading partners. On the inflation front, deflation is expected to persist into early 2025 before turning positive by mid-2025 and stabilising around the 5% medium-term target, anchored by policy. The Central Bank will remain vigilant, aware that global factors, including US policies, could influence domestic conditions and monetary policy decisions, while domestic interest rates are expected to remain low, with some scope for further cuts in certain lending products.

Risks Associated
Market Risk | Liquidity Risk | Credit Risk

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Sri Lankan Economy Highlights



Source: CBSL

Social

Related Material Theme **MT 4** **MT 5**

Related Strategies **S 2** **S 4**

According to the 2024 Census of Population and Housing, Sri Lanka's population is 21,763,170, an increase of 1,403,731 since 2012. While the average annual growth rate has slowed from 0.7% (2001-2012) to 0.5% (2012-2024), the population continues to grow. Provincially, the Western Province has the highest population (28.1%), and the Northern Province has the lowest (5.3%).

The labour force participation rate in 2024 was 47.4%, with an economically active population of approximately 8.3 million, 66.4% of whom were male. Data from this period indicated that female unemployment rates were consistently higher than male rates across all age groups. Youth aged 15-24 also experienced higher unemployment rates compared to older demographics for both sexes.

Stemming partly from limited economic opportunities exacerbated by the post-crisis public sector hiring freeze, emigration from Sri Lanka is increasing. Data from the Sri Lanka Bureau of Foreign Employment indicates a year-on-year rise in applications during the first nine months of 2024. This trend carries potential adverse implications for the quality of public service delivery.

The poverty rate was 24.5% (at US\$3.65 per person per day, PPP) in 2024. Although poverty declined marginally during the year, it remains nearly double what it was in 2019 (11.3%).

Outlook

For 2025, Sri Lanka's total population is forecast at 23.23 million inhabitants, with the labour force projected at 8.78 million. This is expected to result in an unemployment rate of 5.24%, or approximately 459.73 thousand people. Labour productivity is forecasted at US\$3.96.

Risks Associated Sustainability Risk | Operational Risk

Technological

Related Material Theme **MT 2** **MT 5**

Related Strategies **S 2** **S 3** **S 6**

Technology is reshaping the financial services industry. AI applications are automating customer service via chatbots and advanced virtual assistants, providing personalised AI financial advice, and enhancing security through AI fraud detection, which is essential given the complexity of online transactions. The digital payment landscape is rapidly advancing with trends such as real-time and contactless payments improving speed and convenience. Mobile banking provides accessible transaction services beneficial for both users and institutions. Additionally, cryptocurrencies offer potential for decentralised transactions and greater financial inclusion.

Sri Lanka has strategically reframed its digital economy approach, viewing it as a national economic imperative for GDP growth, improved services, and enhanced competitiveness, rather than just a tech challenge. This shift led to a dedicated Digital Economy Ministry overseeing relevant institutions. Efforts include foundational projects including a blueprint, AI strategy, and digital identity, alongside immediate wins such as the GovPay platform. The country has set a bold target to grow its digital economy from the current USD 3-4 Billion to USD 15 Billion within five years.

Outlook

The global Digital Payments market is set for substantial growth, with total transactions projected to reach US\$17.15 Billion by 2028 at a CAGR of 14.49%. Recognising this accelerating trend both globally and domestically, the Central Bank of Sri Lanka has launched a comprehensive three-year plan to enhance the stability and efficiency of the national payment system. This multi-pronged approach focuses on bolstering the legal framework (including revising the Payment and Settlement Systems Act and updating subsidiary rules including mobile app guidelines by 2025, while reviewing access/licensing regimes), upgrading infrastructure (such as the new ISO 20022 compliant RTGS system launched in 2024 with plans for cross-border extension, expanding CEFTS, and operationalising the GDPP in 2025), providing incentives (restoring the LANKAQR MDR to 1% from Jan 1, 2025), and strengthening public trust and security through fraud monitoring, guidance, new regulations, and nationwide awareness programmes.

Risks Associated Reputation Risk | Cyber Security Risk

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Environmental Related Material Theme **MT 1** **MT 4** Related Strategies **S 1** **S 4**

Beyond direct and indirect economic impacts on sectors such as agriculture and energy, climate change poses a significant threat to financial stability. This link occurs primarily through two mechanisms. Physical risks materialise as increased frequency and severity of climate disasters, directly eroding asset and collateral values and impacting insurance sector liabilities. Simultaneously, transition risks emerge from the process of moving towards a low-carbon economy; the uncertainties around policy shifts and technological developments can disrupt markets and adversely affect the asset prices of carbon-intensive industries. Failing to undertake timely mitigation exacerbates the potential for sudden, economically disruptive adjustments, further increasing financial instability risks.

Sri Lanka is highly vulnerable to climate change impacts, including rising temperatures, altered rainfall patterns, sea level rise, and increased frequency of extreme weather events. These changes are already affecting various sectors, particularly agriculture, coastal areas, and human health.

Outlook

Despite contributing minimally to global emissions, Sri Lanka is severely impacted by climate change, facing threats to its economy and livelihoods from events including floods and droughts. While global developments such as the COP29 approval of standards for carbon markets can help foster funded emission reduction projects, the United Nations is supporting Sri Lanka's climate adaptation and mitigation efforts. This UN assistance includes initiatives in environmental management, climate-smart agriculture, e-mobility, renewable energy, and disaster preparedness/recovery, with plans to continue helping update national climate goals (NDCs) and mobilise partners.

Risks Associated Sustainability Risk | Operational Risk

Legal Related Material Theme **MT 3** **MT 5** Related Strategies **S 1** **S 6**

The Central Bank significantly strengthened the Licensed Banks sector and contributed to financial system stability through multiple initiatives. This included enhancing the legal and regulatory framework via the Banking (Amendment) Act and issuing comprehensive Directions to licensed banks, covering critical areas such as large exposure limits, corporate governance standards, liquidity requirements, related party transaction oversight, and rules for offshore banking business. Alongside regulatory updates, the Bank developed the Bank Recapitalisation Strategy as a roadmap for restructuring and recapitalising nine large domestic banks, specifically to ensure an adequately capitalised system. Furthermore, to enhance the efficiency and accuracy of the Sri Lanka Deposit Insurance Scheme (SLDIS) compensation mechanism and better manage depositor information, a Depositor-wise Data Collection System was initiated, covering all Licensed Banks and Licensed Finance Companies.

Outlook

The Central Bank remains dedicated to fortifying the non-bank financial institutions (NBFI) sector through its Masterplan for Consolidation and enhanced regulation. The Masterplan, initiated in 2020 to build a strong, stable sector, completed eight amalgamations in Phase I. A revised Phase II, announced in December 2024 and effective March 2025 to March 2028, will now focus on boosting the resilience of standalone finance companies, with their performance against benchmarks being monitored. To underpin this stability, regulatory oversight and risk management will be improved by amending the Finance Business Act and Finance Leasing Act, issuing new rules, leveraging automation for supervision, and enhancing public disclosures on finance company performance.

Risks Associated Reputation Risk | Operational Risk

4. LICENSED FINANCE COMPANIES SECTOR

The Licensed Finance Companies (LFC) sector recorded a significant expansion in 2024, whilst exhibiting resilience by maintaining capital and liquidity well above the regulatory minimum levels. The sector comprised 32 FCs accounting for 5.4% of the total financial sector assets at end 2024. The FCs sector grew in terms of loans and advances, deposits, and borrowings. Further, the asset quality of the sector improved as reflected by the reduction in NPL denoted by Stage 3 loans. The asset base of the sector increased by Rs. 235.2 Billion in 2024 and reached Rs. 1,930.7 Billion, reflecting a growth of 13.9% at end 2024, compared to a 5.7% growth at end 2023. The sector's Profit After Tax (PAT) increased by 20.9% from Rs. 49.4 Billion in 2023 to Rs. 59.7 Billion in 2024, mainly driven by the increase in net interest income.

5. OUR COMPETITIVE LANDSCAPE (FIVE FORCES ANALYSIS)

Power of Customer

Impact **High**

While large-ticket loan / deposit customers have historically been highly price-sensitive and possessed greater bargaining power, MSMEs have generally been less rate-sensitive and held less leverage in negotiations. However, as Micro, Small and Medium Sized Enterprises (MSMEs) become more financially sophisticated, they are likely to become increasingly price-sensitive and demand more competitive terms.

Our Response

Focus on relationship building among existing customer base and channel resources towards finding new opportunities

 Refer Social and Relationship Capital on page 184

Power of Business Partner

Impact **Low**

As a financial institution, our primary suppliers are providers of support services. Due to the nature of their services, which are essential but not core to our business, the bargaining power of these business partners is generally low.

Our Response

Focus on a diversified pool of support service providers to reduce risk of over-dependence on any specific group of service providers

 Refer Social and Relationship Capital on page 184

Threat of New Entrants

Impact **Low**

Sri Lanka's financial sector is comprised of 30 banks and 34 non-bank financial institutions (NBFIs), creating a competitive landscape. The likelihood of new entrants is also based on the decision by authorities to grant new licenses.

Our Response

Build a strong and credible brand that stands out among peers

 Refer MD's Review on page 50 and Business Review on page 222

Threat of Substitute Products

Impact **High**

While the threat of substitutes within the NBFI industry itself is low, competition from banks and other financial institutions offering similar loan and deposit products poses a significant challenge. In the medium to long term, the threat of substitutes is substantial, highlighting the need for NBFIs to innovate and create value-added solutions to meet the evolving lending needs of businesses and individuals.

Our Response

Stay updated with industry best practices and new opportunities offered through technology and incentives

 Refer Social and Relationship Capital on page 184 and Business Review on page 222

Competitive Rivalry

Impact **High**

Traditionally, Sri Lankan customers have been reasonably loyal; however, competitive tactics among entities have greatly reduced loyalty levels, especially across high net-worth customer segments.

Our Response

Improve product mix, customer service and process efficiency to attract and retain customers. Explore new ways of delivering value and innovative means of utilising existing resources to extend our range of offerings.

 Refer MD's Review on page 50 and Business Review on page 222